

Company Accounts - Unit III

Amalgamation (AS-14), Internal Reconstruction & Liquidation of Companies

Unit 3 | Notes with one solved question per topic | All amounts in Rs.

Roadmap (about 90 minutes)

Topic	Time	What we must walk away with
1. Amalgamation (AS-14) & purchase consideration	20 min	PC by net payments / net assets, swap ratio, cash per share
2. Books of the old company	15 min	The 7 realisation steps
3. Books of the new company	20 min	Purchase method, merger method, goodwill / capital reserve
4. Internal reconstruction	20 min	Capital Reduction A/c and its entries
5. Liquidation of a company	15 min	Order of payment, Liquidator's Final Statement of Account

Basics

- **Amalgamation:** two or more companies agree to combine their businesses into one new business unit. **Absorption:** one company takes over another. **External reconstruction:** a company is reconstructed to form a new company.
- **Amalgamating company** = the company that is merged into another and wound up (old company / transferor / vendor). **Amalgamated company** = the company that takes over the business and carries it on (new company / transferee / purchaser).
- AS-14 recognises amalgamation in the nature of purchase and in the nature of merger (pooling of interests).

1. Amalgamation (AS-14) & purchase consideration

Merger vs amalgamation vs acquisition (in simple words)

In daily news all three are called "merger". In accounting we separate them by one question: **what happens to the old company?**

Term	Simple meaning	Real example	Where it fits in our syllabus
Merger	Two companies of similar size join and become one. Owners of both continue as owners of the combined company.	Vodafone India + Idea Cellular became Vodafone Idea (brand Vi), completed on 31 August 2018.	Amalgamation in the nature of merger (pooling of interests): needs all 5 conditions.
Amalgamation / Absorption	Amalgamation is the legal word for companies combining; the old company ends without liquidation. Absorption: a bigger company takes over a smaller one and carries on.	HDFC Ltd merged into HDFC Bank (1 July 2023). HDFC Ltd shareholders got 42 HDFC Bank shares for every 25 held (the swap ratio).	Unit 3: purchase consideration, swap ratio, books of old and new company.
Acquisition	One company buys control of another by buying its shares. The bought company keeps its own existence as a separate company.	Zomato (now Eternal Ltd) acquired Blinkit in 2022 in an all-stock deal of about Rs. 4,447 crore. Blinkit continues as a company inside the group.	Holding and subsidiary company: Consolidated Balance Sheet (Unit 4). No winding up.

	Amalgamation (merger / absorption)	Acquisition
Old (target) company	Ends, without liquidation	Continues as a separate company (subsidiary)
Business	Moves to the new / continuing company	Stays in the same company
Shareholders of old company	Get shares / cash of the new company (swap ratio)	Sell their shares to the buyer (for cash or the buyer's shares)
Accounting	Unit 3: PC and journal entries in both companies' books	Unit 4: Consolidated Balance Sheet of holding and subsidiary

Easy rule: **amalgamation = the old company disappears; acquisition = the old company stays.** These real companies follow Ind AS 103; in our syllabus we use AS-14.

- **Purchase consideration (PC)** = what the new company gives to the shareholders (equity and preference) of the old company, in shares, cash or debentures.
- **Net payments method:** add all payments made by the new company to the old company's shareholders.
- **Net assets method:** PC = Sundry assets taken over - Sundry liabilities taken over (at the **agreed values**).

- If the old company's Balance Sheet shows preference share capital and the new company makes a separate payment to preference shareholders, deduct **that payment** (not the Balance Sheet amount) while calculating the equity PC.

Swap ratio, intrinsic value and cash per share

$$\text{Swap ratio} = \frac{\text{Value of old Co.'s share}}{\text{Value of new Co.'s share}}$$

The value used is (in order of preference): **market value**, then **intrinsic value**, then **paid-up value**.

$$\text{Intrinsic value} = \frac{\text{Assets (excluding fictitious assets)} - \text{Liabilities} - \text{Preference share capital}}{\text{No. of equity shares}}$$

Assets are taken at take-over values (sometimes market values). This is the value of an equity share if the company is liquidated.

$$\text{Cash per share (CPS)} = \frac{\text{Shares surrendered} \times \text{Old Co. value} - \text{Shares obtained} \times \text{New Co. value}}{\text{Shares surrendered}}$$

Needed when **both** the swap ratio and the intrinsic values are given. Total cash = CPS x number of old Co. shares. If CPS is negative, ignore it. If the question says "calculate necessary cash": calculate the intrinsic value of both companies first, then CPS.

Example: swap ratio 3 : 2, intrinsic values Rs. 20 (old) and Rs. 27 (new): CPS = $\frac{3 \times 20 - 2 \times 27}{3} = \frac{60 - 54}{3} = \text{Rs. 2}$

- **Equity shares to issue** = Swap ratio x No. of old shares. Value of the shares = Shares x **issue price**.
- If the question is **silent about the issue price**: use the intrinsic value only if it was already calculated for the swap ratio; otherwise use paid-up (face) value. Do not calculate intrinsic value only for this.

Format for calculating PC (tabular form): who is paid, in what, working, amount.

Q1 (used in topics 1, 2 and 3). A Ltd is taken over by B Ltd. Balance Sheet of A Ltd is given below. B Ltd takes over all assets except cash, and all liabilities, at book values. Equity shareholders of A get 4 equity shares of Rs. 10 (issued at Rs. 12) in B Ltd for every 5 shares held, plus Rs. 2 cash per share held. Preference shareholders get 10% preference shares of B Ltd of Rs. 100 each at par, for the same amount. A Ltd's realisation expenses of Rs. 4,000 are borne by B Ltd. Find the purchase consideration.

Liabilities	Rs.	Assets	Rs.
Equity share capital (10,000 shares of Rs. 10)	1,00,000	Fixed assets	1,50,000
10% Preference share capital	50,000	Stock	50,000
General reserve	30,000	Debtors	30,000
Profit and loss A/c	20,000	Cash	20,000
Creditors	50,000		
Total	2,50,000	Total	2,50,000

Payment to	Payment in	Working	Rs.
Equity shareholders	Equity shares of B Ltd	$10,000 \times \frac{4}{5} = 8,000 \text{ shares} \times \text{Rs. 12}$	96,000
Equity shareholders	Cash	$10,000 \text{ shares} \times \text{Rs. 2}$	20,000
Preference shareholders	10% preference shares of B Ltd	$500 \text{ shares} \times \text{Rs. 100}$	50,000
Total purchase consideration			1,66,000

Cross-check by net assets: $(1,50,000 + 50,000 + 30,000) - 50,000 = 1,80,000$, so PC of 1,66,000 is Rs. 14,000 less than net assets: this will be a capital reserve. The expenses of Rs. 4,000 are not part of PC.

DON'T MAKE THESE MISTAKES

- Cash that is **not taken over** is not an asset for the net assets method.
- PC is what the **shareholders** receive; reimbursed expenses are not part of it.
- Shares in PC are valued at **issue price**, not face value.
- Use the payment to preference shareholders (not the Balance Sheet figure) in net assets, if both exist.

2. Books of the old company (realisation steps)

Step 1: Transfer all assets and liabilities at book value. Equity share capital, profits, reserves and fictitious assets go to **Equity Shareholders (ESH) A/c**; preference share capital to **Preference Shareholders (PSH) A/c**; cash to Cash A/c (if not taken over, otherwise to Realisation A/c); every other asset and liability to **Realisation A/c**.

(a) Equity Share Capital A/c	Dr	
Reserves A/c / P&L A/c (credit balance)	Dr	
To Equity Shareholders A/c		
(b) Equity Shareholders A/c	Dr	
To Fictitious Assets A/c		(preliminary expenses, P&L debit balance)
(c) Preference Share Capital A/c	Dr	
To Preference Shareholders A/c		
(d) Realisation A/c	Dr	
To Each Asset A/c		(fixed assets, stock, debtors, etc.)
(e) Each Liability A/c	Dr	
To Realisation A/c		
(f) If cash is taken over (otherwise it stays in Cash A/c):		
Realisation A/c	Dr	
To Cash A/c		

Step 2: Raise PC (PC maango): the new company owes us the PC, so it is a debtor and Realisation A/c gets the income.

New Co. A/c	Dr	(PC)
To Realisation A/c		(PC)

Step 3: Realise PC (PC mil gaya): we receive cash and shares of the new company.

Cash A/c	Dr	
Equity Shares in New Co. A/c	Dr	
Preference Shares in New Co. A/c	Dr	
To New Co. A/c		(PC)

Step 4: Distribute PC to the shareholders.

Equity Shareholders A/c	Dr	
Preference Shareholders A/c	Dr	
To Cash A/c		
To Equity Shares in New Co. A/c		
To Preference Shares in New Co. A/c		

Step 5: Realisation expenses. If the new company reimburses them, the second entry is also passed.

Realisation A/c	Dr	
To Cash A/c		(expenses paid)
Cash A/c	Dr	
To Realisation A/c		(if reimbursed by New Co.)

Step 6: Assets and liabilities not taken over (only these). If the question is silent: the asset is sold for **nil**; the liability is paid at **book value**.

Cash A/c	Dr	
To Realisation A/c		(asset not taken over, sold)
Realisation A/c	Dr	
To Cash A/c		(liability not taken over, paid)

Step 7: Close the accounts. Difference in PSH A/c goes to Realisation A/c. Realisation profit or loss goes to ESH A/c. A debit balance of Cash goes to ESH A/c (a credit balance of Cash goes to Realisation A/c). ESH A/c then tallies.

Realisation profit:		
Realisation A/c	Dr	
To Equity Shareholders A/c		
Realisation loss:		
Equity Shareholders A/c	Dr	
To Realisation A/c		
Balance of cash paid to equity shareholders:		
Equity Shareholders A/c	Dr	
To Cash A/c		

Q1 (continued): books of A Ltd

Step 1: Transfer at book value

Equity Share Capital A/c	Dr	1,00,000	
General Reserve A/c	Dr	30,000	
P&L A/c	Dr	20,000	
To Equity Shareholders A/c			1,50,000
10% Preference Share Capital A/c	Dr	50,000	
To Preference Shareholders A/c			50,000
Realisation A/c	Dr	2,30,000	
To Fixed Assets A/c			1,50,000
To Stock A/c			50,000
To Debtors A/c			30,000
Creditors A/c	Dr	50,000	
To Realisation A/c			50,000
(Cash is not taken over: it stays in Cash A/c)			

Step 2: Raise PC

B Ltd A/c	Dr	1,66,000	
To Realisation A/c			1,66,000

Step 3: Realise PC

Cash A/c	Dr	20,000	
Equity Shares in B Ltd A/c	Dr	96,000	(8,000 x 12)
10% Preference Shares in B Ltd A/c	Dr	50,000	
To B Ltd A/c			1,66,000

Step 4: Distribute PC

Equity Shareholders A/c	Dr	1,16,000	
Preference Shareholders A/c	Dr	50,000	
To Cash A/c			20,000
To Equity Shares in B Ltd A/c			96,000
To 10% Preference Shares in B Ltd A/c			50,000

Step 5: Realisation expenses

Realisation A/c	Dr	4,000	
To Cash A/c			4,000 (expenses paid)
Cash A/c	Dr	4,000	
To Realisation A/c			4,000 (reimbursed by B Ltd)

Step 7: Close the accounts

Equity Shareholders A/c	Dr	14,000	(loss on realisation)
To Realisation A/c			14,000
Equity Shareholders A/c	Dr	20,000	(balance of cash paid)
To Cash A/c			20,000

Realisation A/c: Dr 2,30,000 + 4,000 = 2,34,000; Cr 50,000 + 1,66,000 + 4,000 = 2,20,000; loss = 14,000. Check: ESH A/c Dr 1,16,000 + 14,000 + 20,000 = Cr 1,50,000.

DON'T MAKE THESE MISTAKES

- Cash that is not taken over is paid to equity shareholders in Step 7 (it is not part of PC).
- Do **not** transfer equity share capital or reserves to Realisation A/c.
- Realisation loss or profit goes to **ESH A/c**, not to Capital or P&L.
- Step 6 is only for items that the new company did **not** take over.

3. Books of the new company

Purchase method (amalgamation in the nature of purchase)

1. On date of agreement:		
Business Purchase A/c	Dr	(PC)
To Liquidators of Old Co. A/c		(PC)
2. On effective date:		
Sundry Assets A/c	Dr	(agreed values)
Goodwill A/c	Dr	(balancing figure)
To Sundry Liabilities A/c		
To Business Purchase A/c		(PC)
To Capital Reserve A/c		(balancing figure)
3. On payment date:		
Liquidators of Old Co. A/c	Dr	(PC)
To Equity Share Capital A/c		
To Preference Share Capital A/c		
To Bank / Cash A/c		
To ___% Debentures A/c		
To Securities Premium A/c		(if any)
4. Cancellation of contra items:		
Trade Payables A/c	Dr	
To Trade Receivables A/c		
5. Payment of old Co.'s expenses (reimbursed by new Co.):		
Goodwill A/c	Dr	
To Cash A/c		
6. Payment of liabilities:		
Liability A/c	Dr	
To Cash A/c		
To New Liability A/c (e.g. Bills Payable)		(if any)
7. Creation of statutory reserves:		
Amalgamation Adjustment Reserve A/c	Dr	
To Statutory Reserve A/c		
8. Cancellation of profit on stock (unsold with old Co.):		
Goodwill / Capital Reserve A/c	Dr	
To Stock A/c		

- **Goodwill or capital reserve** is the balancing figure: PC more than net assets gives goodwill; PC less than net assets gives capital reserve.
- **Statutory reserves** of the old company are carried on by creating **Amalgamation Adjustment Reserve** (a debit, shown as a deduction from Reserves & Surplus in the new company's Balance Sheet).
- **Unsold stock**: if the old company bought goods from the new company and some are still unsold, the new company takes them at **cost**, not at selling price (entry 8). We also have to prepare the new company's Balance Sheet.

Q1 (continued): books of B Ltd (purchase method)

1. Business Purchase A/c	Dr	1,66,000	
To Liquidators of A Ltd A/c			1,66,000
2. Fixed Assets A/c	Dr	1,50,000	
Stock A/c	Dr	50,000	
Debtors A/c	Dr	30,000	
To Creditors A/c			50,000
To Business Purchase A/c			1,66,000
To Capital Reserve A/c			14,000 (balancing figure)
3. Liquidators of A Ltd A/c	Dr	1,66,000	
To Equity Share Capital A/c			80,000 (8,000 x 10)
To 10% Preference Share Capital A/c			50,000
To Securities Premium A/c			16,000 (8,000 x 2)
To Bank A/c			20,000
4. Goodwill A/c	Dr	4,000	(A Ltd's expenses reimbursed)
To Bank A/c			4,000

Merger method (pooling of interests)

- It is a merger only if **ALL** five conditions are met. If even one fails, it is a purchase.
- 1. All assets and liabilities of A (transferor) become those of B (transferee).
- 2. Shareholders holding at least **90%** of A's equity shares (by face value) become B's equity shareholders.
- 3. The consideration to A's equity shareholders is paid **wholly in equity shares** of B. Cash is allowed only for fractional shares.
- 4. B intends to **continue A's business**.
- 5. B makes **no adjustment to the book values** of A's assets and liabilities (except to align accounting policies).

1. Business Merger A/c	Dr	(PC)	
To Liquidators of Old Co. A/c			(PC)
2. Sundry Assets A/c	Dr	(book value)	
General Reserve A/c	Dr	(balancing figure, if debit)	
To Sundry Liabilities A/c			
To Reserves of Old Co. (incl. statutory)			(book value)
To Business Merger A/c			(PC)
To General Reserve A/c			(balancing figure, if credit)
3. Liquidators of Old Co. A/c	Dr	(PC)	
To Equity Share Capital A/c			
To Securities Premium A/c			(if any)
4. Cancellation of contra items:			
Trade Payables A/c	Dr		
To Trade Receivables A/c			
5. Payment of old Co.'s expenses:			
General Reserve A/c	Dr		
To Cash A/c			
6. Statutory reserves: no entry (already carried over in entry 2)			
7. Cancellation of profit on stock:			
General Reserve A/c	Dr		
To Stock A/c			

Q2. A Ltd (equity share capital Rs. 1,00,000 of Rs. 10 shares; general reserve Rs. 40,000; export profit reserve (statutory) Rs. 10,000; creditors Rs. 30,000; assets Rs. 1,80,000) is taken over by B Ltd. All shareholders receive 12,000 equity shares of Rs. 10 each at par. Assets and liabilities are taken at book value; the conditions of merger are satisfied. Pass entries.

1. Business Merger A/c	Dr	1,20,000	
To Liquidators of A Ltd A/c			1,20,000
2. Sundry Assets A/c	Dr	1,80,000	
General Reserve A/c	Dr	20,000	(balancing figure)
To Creditors A/c			30,000
To General Reserve A/c			40,000
To Export Profit Reserve A/c			10,000
To Business Merger A/c			1,20,000
3. Liquidators of A Ltd A/c	Dr	1,20,000	
To Equity Share Capital A/c			1,20,000

The balancing figure arises because PC (Rs. 1,20,000) is more than A Ltd's share capital (Rs. 1,00,000): the extra Rs. 20,000 reduces the reserves.

DON'T MAKE THESE MISTAKES

- Purchase method: assets at agreed values; merger method: assets at **book value only**.
- In the merger method, reserves of the old company are **carried forward** (not turned into capital reserve).
- Statutory reserves: **Amalgamation Adjustment Reserve** in the purchase method; **no separate entry** in the merger method.
- Goodwill and capital reserve are balancing figures. Never guess them.

4. Accounting for internal reconstruction

- **Reconstruction:** revaluing assets, liabilities and share capital to make the financial position better. **Court approval** is needed and **no liquidation** takes place.
- Every adjustment goes through the **Capital Reduction A/c** (also called Reconstruction A/c): gains are credited and losses are debited. At the end, make the new Balance Sheet keeping all the increases and decreases in mind.

1. Asset decreases (written down):	
Capital Reduction A/c	Dr
To Asset A/c	
2. Asset increases (revalued upward):	
Asset A/c	Dr
To Capital Reduction A/c	
3. Liability increases:	
Capital Reduction A/c	Dr
To Liability A/c	
4. Liability decreases:	
Liability A/c	Dr
To Capital Reduction A/c	
5. Payment of expenses / unrecorded old liabilities:	
Capital Reduction A/c	Dr
To Bank A/c	
6. Cancellation of unrecorded liabilities: no entry	
7. Fictitious / intangible assets written off:	
Capital Reduction A/c	Dr
To Fictitious / Intangible Assets A/c	
8. Reduction in share capital	
(i) Paid-up value reduced:	
Share Capital A/c	Dr
To Capital Reduction A/c	
(ii) Paid-up value and face value reduced:	
Share Capital A/c (old face value)	Dr
To Share Capital A/c (new face value)	
To Capital Reduction A/c	
9. Conversion of shares into stock:	
Equity Share Capital A/c	Dr
To Equity Stock A/c	
10. Surrender of shares:	
Share Capital A/c	Dr
To Share Surrender A/c	
11. Surrendered shares issued against a liability:	
Share Surrender A/c	Dr
To Share Capital A/c	
Liability A/c	Dr
To Capital Reduction A/c	
12. Cancellation of surrendered shares:	
Share Surrender A/c	Dr
To Capital Reduction A/c	
13. Balance of Capital Reduction A/c (transfer is compulsory):	
Credit balance: Capital Reduction A/c	Dr
To Capital Reserve A/c	
Debit balance: Capital Reserve A/c	Dr
To Capital Reduction A/c	

Q3. Balance Sheet of X Ltd: equity share capital 1,00,000 (10,000 shares of Rs. 10); 10% preference share capital 50,000; creditors 70,000. Assets: goodwill 20,000; plant 90,000; stock 50,000; debtors 30,000; cash 10,000; P&L (debit) 20,000. Court-approved scheme: (a) equity shares become Rs. 5 each, fully paid; (b) preference share capital reduced by 20%; (c) creditors forgo Rs. 10,000; (d) goodwill and the P&L debit balance are written off; plant reduced by Rs. 15,000 and stock by Rs. 5,000; (e) reconstruction expenses of Rs. 5,000 paid in cash; (f) the balance of Capital Reduction A/c is transferred to Capital Reserve. Pass entries and prepare the new Balance Sheet.

1. Equity Share Capital (Rs. 10) A/c	Dr	1,00,000	
To Equity Share Capital (Rs. 5) A/c			50,000
To Capital Reduction A/c			50,000
2. 10% Preference Share Capital A/c	Dr	10,000	(20% of 50,000)
To Capital Reduction A/c			10,000
3. Creditors A/c	Dr	10,000	
To Capital Reduction A/c			10,000
4. Capital Reduction A/c	Dr	65,000	
To Goodwill A/c			20,000
To Plant A/c			15,000
To Stock A/c			5,000
To P&L A/c (debit balance)			20,000
To Bank A/c			5,000
5. Capital Reduction A/c	Dr	5,000	(Cr 70,000 - Dr 65,000)
To Capital Reserve A/c			5,000

Balance Sheet	Before	After
Equity share capital (after: 10,000 shares of Rs. 5)	1,00,000	50,000
10% Preference share capital	50,000	40,000
Capital reserve	-	5,000
Creditors	70,000	60,000
Total liabilities	2,20,000	1,55,000
Goodwill	20,000	-
Plant	90,000	75,000
Stock	50,000	45,000
Debtors	30,000	30,000
Cash	10,000	5,000
P&L (debit balance)	20,000	-
Total assets	2,20,000	1,55,000

DON'T MAKE THESE MISTAKES

- **Losses are debited** and **gains are credited** to Capital Reduction A/c.
- Share capital reduction is a **credit** to Capital Reduction A/c (it is a gain for the company).
- Unrecorded liabilities: **no entry** if cancelled; if paid, debit Capital Reduction A/c.
- Transfer the balance of Capital Reduction A/c to Capital Reserve at the end.

5. Liquidation of a company

- **Liquidation (winding up)** = closing the company: selling its assets, paying its liabilities and distributing any balance to members. It can be **compulsory** (by the Tribunal), **voluntary** (members' or creditors') or under the **IBC 2016**. A **liquidator** is appointed to do this.
- **Contributories** are members who must pay the unpaid amount on their shares (A list: present members; B list: past members within one year of winding up). The liquidator may **call** on them if the assets are not enough.
- The **Statement of Affairs** (Unit 4) is the estimate; the **Liquidator's Final Statement of Account** is the actual receipts and payments made.

Order of payment (classic textbook order)

Rank	Payment
1	Secured creditors: from their security. Shortfall becomes unsecured; surplus comes to the liquidator
2	Liquidation expenses and liquidator's remuneration
3	Preferential creditors (taxes, wages)
4	Debentures with a floating charge
5	Unsecured creditors
6	Preference shareholders
7	Equity shareholders (surplus, if any)

Note

• IBC 2016 (Sec 53) gives a revised order of payment in liquidation (costs first; workmen's dues of 24 months and secured creditors who give up security; employees' dues of 12 months; unsecured financial debts; government dues; remaining debts; then preference and equity shareholders). If your textbook follows the classic order above, write that.

Liquidator's remuneration is usually given as a % on **assets realised (excluding cash)** and a % on **payments to unsecured creditors**. When the money is not enough for the unsecured creditors, the commission is also paid out of the same money:

$$\text{Payment to unsecured creditors} = \frac{\text{Cash available} \times 100}{100 + \text{Commission rate}}$$

Format: Liquidator's Final Statement of Account (receipts on the left with two columns, book value and realisable value: cash at bank, assets realised, calls on contributories; payments on the right in the order above).

Q4. A Ltd is in liquidation. Assets (book value / realisable value): land and building Rs. 2,00,000 / Rs. 1,40,000 (mortgaged to a creditor for Rs. 1,00,000); machinery Rs. 1,50,000 / Rs. 1,20,000; stock Rs. 1,00,000 / Rs. 80,000; debtors Rs. 80,000 / Rs. 60,000; cash at bank Rs. 54,000 / Rs. 54,000. Liabilities: debentures with floating charge Rs. 1,00,000; preferential creditors Rs. 30,000; unsecured creditors Rs. 2,40,000. Liquidation expenses Rs. 10,000. Remuneration: 2% on assets realised (excluding cash) and 3% on payments to unsecured creditors. Prepare the Liquidator's Final Statement of Account.

Series of payments, step by step

Step	Payment	Working	Paid (Rs.)	Cash left (Rs.)
0	Total cash with the liquidator (use the realisable value column, not book value)	54,000 + 1,40,000 + 1,20,000 + 80,000 + 60,000	-	4,54,000
1	Secured creditor (mortgage)	Paid from the land and building proceeds	1,00,000	3,54,000
2	Liquidation expenses	As given	10,000	3,44,000
3	Liquidator's remuneration on assets	2% of 4,00,000 (realisable value of all assets except cash of 54,000)	8,000	3,36,000
4	Preferential creditors	As given	30,000	3,06,000
5	Debentures with floating charge	As given	1,00,000	2,06,000
6	Unsecured creditors, with 3% commission	$2,06,000 \times \frac{100}{103} = 2,00,000$	2,06,000	0
7	Preference and equity shareholders	Nothing is left	Nil	0

Step 6: Rs. 2,06,000 = Rs. 2,00,000 to unsecured creditors (out of their Rs. 2,40,000 claim, shortfall Rs. 40,000) + Rs. 6,000 commission (3% of 2,00,000). Total remuneration = 8,000 + 6,000 = 14,000.

Receipts	Book value (Rs.)	Realisable value (Rs.)	Payments	Rs.
Cash at bank	54,000	54,000	Mortgage creditor (from land and building)	1,00,000
Land and building	2,00,000	1,40,000	Liquidation expenses	10,000
Machinery	1,50,000	1,20,000	Liquidator's remuneration: 2% on 4,00,000 = 8,000; 3% on 2,00,000 = 6,000	14,000
Stock	1,00,000	80,000	Preferential creditors	30,000
Debtors	80,000	60,000	Debentures (floating charge)	1,00,000
			Unsecured creditors (paid 2,00,000 of 2,40,000)	2,00,000
			Preference / equity shareholders	Nil
Total	5,84,000	4,54,000	Total	4,54,000

Only the realisable value column balances with the payments. The book value column is for comparison: loss on realisation = 5,84,000 - 4,54,000 = 1,30,000.

DON'T MAKE THESE MISTAKES

- Pay and calculate from the **realisable value** column, never from book value.
- Follow the **order of payment**: shareholders get nothing until all creditors are paid in full.
- Commission on assets is on assets realised (including pledged assets), **not on cash**.
- Commission on payments to unsecured creditors needs the $100 / (100 + \text{rate})$ step when funds are short.
- A shortfall of a secured creditor is paid as an unsecured creditor.

Quick revision checklist

- PC: shares at issue price + cash + debentures; net assets = assets taken - liabilities taken.
- Old company: 7 steps; ESH A/c takes realisation profit or loss and unused cash.
- New company: purchase method (goodwill / capital reserve); merger method (all 5 conditions, 90% rule, book values, reserves carried).
- Reconstruction: every change goes through Capital Reduction A/c; balance to Capital Reserve.
- Liquidation: expenses, preferential, floating charge, unsecured, then shareholders.